ETH-02 · CODE OF ETHICS

The principles explained

What each of the eight principles requires, why it exists, and where it actually bites

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PROJECT CONTROLS INSTITUTE GLOBAL, INC.

AI proposes. The professional disposes.

Summary

A clause-by-clause reading of the eight principles in the PCI code of ethics and professional conduct: what each one requires in ordinary work, the reasoning that puts it in the Code, the point at which it stops being obvious and starts costing something, and what it does not require. Written for the practitioner who accepts the principles in the abstract and wants to know what they mean on a Thursday afternoon when a report is due.

About this document

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Contents

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In one paragraph. This document takes the eight principles in `ETH-01` one at a time and explains what each requires in ordinary work, why the Institute thinks it belongs in a code at all, the point at which it stops being obvious and starts costing something, and what it does not require. It is not a summary of the Code; it is the reasoning underneath it, which is what a practitioner needs when the situation in front of them is not the one the clause was written for.

Who this is for. Cost engineers, planners, quantity surveyors, controls managers and heads of function who have read the Code, agree with all of it, and want to know how it behaves under load.

1. Why the principles need explaining at all

A code of ethics fails in one of two ways. Either it is so abstract that everyone agrees with it and nobody can apply it, or it is so specific that any situation not on the list feels permitted.

The eight principles in `ETH-01 §4` are deliberately at the general level. That means they need reasoning attached, because a practitioner facing a real decision is almost never in the textbook case. They are being asked to change one word. The number is defensible either way. The person asking is not a villain and has a real argument. The deadline is in forty minutes.

Principles are what you use when the rule does not quite fit. So each of the eight is set out below in the same shape: **what it requires**, **why it is in the Code**, **where it bites** — the point at which compliance costs something — and **what it does not require**, because a principle read too widely is abandoned as unworkable.

One observation runs through all eight, and it is the single most useful thing in this document. Almost nobody breaches a code of ethics in one step. The breach is reached by a sequence of individually reasonable concessions: a softer adjective, a rounder number, an assumption left unstated because everyone knows it, a caveat moved to an appendix, a date nobody believes but nobody has formally revised. Each step is smaller than the one before it, and the last one is the smallest of all. This is why the principles are written as habits rather than as prohibitions on dramatic acts.

2. Integrity of the numbers (§4.1)

What it requires. That the number you report is the number your evidence supports, together with the assumptions it rests on and a plain statement of what it cannot tell the reader.

Why it is in the Code. Everything a controls function produces is an input to somebody else's decision. A cost report is not a document; it is the reason a board does or does not release the next tranche of funding. The discipline's entire claim on professional standing rests on the reported position being independent of what anyone wants it to be. Remove that and the function is a presentation service.

Where it bites. Not in the fabricated number — those are rare, and everyone recognises them. It bites in three quieter places.

The first is **framing**. Every figure in a report can be literally correct while the report as a whole misleads: a portfolio-level roll-up that conceals two failing packages, a variance shown against a revised budget without saying the budget moved, a trend chart that starts at the month after the bad one. `ETH-01 §5.3` treats the impression created as the thing being tested, and that is deliberate.

The second is **silence about uncertainty**. A single-point completion forecast reported without any statement of range, in circumstances where the range is wide and known to be wide, misleads by omission. The professional habit is to state the number, the basis and the sensitivity together, so that they travel as one object and cannot be separated by somebody making a slide.

The third is **the number you did not update**. An estimate that was reasonable in March and is indefensible in September is not saved by having been prepared honestly. Integrity includes revisiting the number when the evidence moves.

What it does not require. It does not require pessimism. Controls professionals sometimes drift into treating the low number as suspect and the high number as safe, which is its own distortion — an inflated forecast destroys value as reliably as an optimistic one, by holding contingency that could have funded something else and by teaching everyone to discount your figures. It does not require certainty; it requires honesty about how much you have. And it does not require you to win the argument. Reporting the honest number and being overruled by people entitled to overrule you is compliance, provided you reported it and it is on the record.

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3. Competence and its limits (§4.2)

What it requires. That you take on work you can actually do, get help where you cannot, keep your knowledge current, and never claim what you do not hold.

Why it is in the Code. Incompetent work does the same damage as dishonest work and is more common. The person relying on your quantitative schedule risk analysis cannot tell from the output whether you understood the correlation assumptions in it. They are relying on your professional statement that you did.

Where it bites. At the moment of admission, and it bites hardest on senior people. A graduate saying "I have not done this before" is unremarkable. A controls manager saying it about a probabilistic method their director assumes they know is expensive, and that is exactly the moment the principle exists for. The practical form is narrow and specific: "I can build and run this model; I am not confident specifying the correlation between these two duration ranges, and that assumption drives the answer. I want an hour with someone who is."

It also bites on **currency**, which is where the discipline is moving fastest. Methods that were adequate five years ago are still adequate; tools that were adequate five years ago are not. The Institute treats the governed use of AI as part of competence rather than as an optional extra (§4.8), which means the practitioner who refuses to engage with it is making a competence choice, not a neutral one.

What it does not require. It does not require you to refuse anything you have not done before — that is how a career fails to develop and how a function becomes brittle. Stretch is legitimate; the condition is that the stretch is visible to whoever is relying on the work, and supervised in proportion to the consequence of being wrong.

4. Confidentiality (§4.3)

What it requires. That information entrusted to you is protected, used only for its intended purpose, and never turned to personal advantage — during the engagement and after it.

Why it is in the Code. Controls professionals see the commercially decisive material: the rates, the margins, the bid position, the claims strategy, the productivity that the client has not been told about. Access on that scale is granted only where the recipient is assumed to be safe.

Where it bites. Rarely in the deliberate leak; usually in **purpose creep**. Rates from one client used to sanity-check an estimate for another. A schedule taken to a new employer because you built it and it feels like yours. A screenshot in a conference talk with the logo cropped but the activity names intact. A benchmarking exercise that pools numbers nobody was asked about. Each of these has an innocent motivation and each is a use the owner did not authorise.

It bites again on **anonymisation**, which people over-trust. A cost breakdown with the client name removed is still identifying if the scope, the country and the year are recoverable from it — and in project controls they almost always are, because the details that make data useful are the details that make it traceable.

And it bites at the **exit**. The rule that survives employment is genuinely a rule: material stays, knowledge in your head travels, and confidential commercial positions do not become usable because you changed employer. `ETH-04` deals with what that means when you cross to the other side of a contract.

What it does not require. It does not require you to un-learn your profession. Skill, method, judgement and general market awareness are yours. The line is between capability you developed and information you were given.

5. Conflicts of interest (§4.4)

What it requires. That interests capable of being seen to influence your judgement are disclosed before the judgement is exercised, and managed or avoided.

Why it is in the Code. Because the test is perception, not integrity. Assurance has no value if the reader has to take the assessor's self-belief on trust. The principle protects the reader, and it protects you: a disclosed interest that later comes to light is an administrative fact, whereas an undisclosed one is the story.

Where it bites. On the honest person, which is the part people miss. The corrupt practitioner is not troubled by this principle. The person it constrains is the one who genuinely believes — often correctly — that they can be objective about a supplier run by their brother-in-law. The Code asks a different question: what would a reasonable, informed observer conclude? That question has a different answer, and it is the one that binds.

It bites second on **self-review**: preparing an estimate and then auditing it, writing a procedure and then assessing compliance with it, owning a forecast and chairing the panel that challenges it. This is the most common structural conflict in a controls function, it is almost always created by resourcing rather than by intent, and it is invisible from inside because everyone knows everyone is trying their best. `ETH-04` sets out how to fix it without a bigger team.

What it does not require. It does not require you to have no relationships, no history and no prior employer. It requires you to say what they are.

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6. Fair dealing in commercial matters (§4.5)

What it requires. That valuations, applications for payment, claims and variations honestly reflect the work done and the contract's terms, and that advocacy stays inside the boundary of what the records support.

Why it is in the Code. Because in commercial work the professional is expected to be partisan, and a code that ignored that would be ignored in return. This principle does not ask you to be neutral between your employer and the counterparty. It draws the line in the only place it can sensibly be drawn: you may present your side's case in its strongest honest form; you may not assert as fact what you know not to be established.

Where it bites. On the difference between an **arguable position** and a **manufactured one**. A claim built on genuine records, argued to the top of its range, is legitimate professional work. A claim built by selecting the records that survived, by measuring the same delay twice under two headings, or by pricing a variation using rates the contract does not support, is not — and the practitioner usually knows precisely which one they are constructing, because the manufactured one requires them to avoid certain documents.

It also bites at **year-end and at cut-off**, where the pressure to measure generously is at its peak and where a percentage moved by seven points across a large package moves real money. `ETH-03` works that case through in detail.

What it does not require. It does not require you to volunteer your side's weaknesses to the counterparty, to concede an arguable entitlement, or to negotiate against yourself. Advocacy is legitimate. Misrepresentation is not.

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7. Refusal to misstate (§4.6)

What it requires. That when you are instructed to produce or transmit something you believe to be materially misleading, you decline, escalate through the proper channel, and keep a record.

Why it is in the Code. Because this is the principle that costs the most, and because the instruction is the ordinary way a misstatement happens. Almost no controls professional wakes up intending to mislead a board. They are asked, by someone senior, for something that sounds reasonable in the room.

Where it bites. In the gap between refusing and resigning. Practitioners frequently believe those are the only two moves, conclude that resignation is unaffordable, and therefore comply. The Code requires a third thing, and it is the useful one: decline the specific act, put the position in writing, escalate it once through the channel that exists, and record what you did. That sequence is proportionate, it is available to a person who cannot afford to lose their job, and it is what the Institute will look for if the matter is ever examined.

It bites again on **records**, which people neglect precisely when they are most under pressure. A dated note of what you were asked, what you said and to whom is the difference between a professional who escalated and a professional who says they did.

The Code is explicit that pressure is not a defence (`ETH-01 §5.9.4`). It is equally explicit that being overruled after proper escalation is not a breach (`ETH-01 §6.4`). Both halves matter: the first prevents "I was told to" from working, and the second prevents the principle from demanding heroism from people with no authority.

What it does not require. It does not require you to escalate every disagreement about method. Competent professionals differ about EAC technique, about accrual judgement and about risk exposure, and those are arguments, not conduct matters. The threshold is a number or a statement you believe to be materially misleading — capable of changing the decision of a reasonable person relying on it.

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8. Duties to the profession and the Institute (§4.7)

What it requires. Honesty in every dealing with the Institute; integrity in the examination; permanent confidentiality of examination content; cooperation with an investigation; accurate use of the designation.

Why it is in the Code. A credential is a shared asset. Its value to every holder is set by the weakest process anyone got through. A candidate who obtains a pass with help devalues the credential of every candidate who did not — including their own, which is the part that makes it a professional matter and not merely a rule.

Where it bites. On **examination content after the sitting**, which candidates routinely underestimate. Posting recalled questions in a study group feels generous. It is a breach, it is permanent, and it is treated seriously because item banks are expensive to build and trivially destroyed. It bites again on **describing the credential accurately**: the Institute is at founding stage, is developed with reference to ISO/IEC 17024 principles, and is not accredited. A certificant who overclaims on a profile page is doing to the Institute exactly what §4.1 forbids doing to a sponsor.

What it does not require. It does not prohibit teaching, coaching or writing about the discipline. Explaining a method, publishing a worked example and preparing candidates are all legitimate and useful. The line is live examination content — the items themselves — not the subject matter they test.

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9. Governed use of AI (§4.8)

What it requires. That AI-assisted output is verified before reliance, that you can explain a number you submitted in your own words, that a material AI contribution is visible to reviewers, and that confidential data does not go into tools outside the owner's control.

Why it is in the Code. Because accountability cannot follow the work into the tool. When a forecast produced with AI assistance turns out to be wrong, the sponsor's question is not which model was used but who checked it. The Institute's formulation — AI proposes; the professional disposes — is a statement about where accountability sits, not a statement about how much automation is appropriate.

Where it bites. On the **explanation test**, and it bites hard. Ask yourself whether you could, without the tool open, tell a sceptical reviewer what data the number rests on, what method produced it, which assumption it is most sensitive to, and what would have to be true for it to be wrong. If you cannot answer all four, you are not yet the author of that number, and submitting it under your name breaches the principle regardless of whether the number is correct.

It bites second on **confidential data**, where the failure is casual rather than considered: pasting a cost breakdown into a general-purpose tool to get a quick summary. The useful discipline is a single question asked before pasting anything — would I be comfortable if the data owner watched me do this?

It bites third on **deskilling**, which is slower and more serious. A practitioner who has never performed the calculation cannot sense when the output is wrong, and sensing that is most of what experience is for.

What it does not require. It is not an anti-AI position, and reading it as one misreads the Institute entirely. The credential exists partly to certify governed AI use. Nothing here restricts drafting, exploration, code generation, summarisation or analysis support. The requirement attaches at the point of submission: when the output leaves you carrying your name.

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10. How the principles interact

Real dilemmas engage several principles at once, and the Code is designed so that they do not contradict each other. A useful order of resolution when more than one applies:

1. **Is anything about to be stated that is materially misleading?** (§4.1, §4.5) If yes, that dominates. Nothing else in the Code authorises it.
2. **Am I competent to judge that?** (§4.2) If not, the obligation is to say so, not to guess.
3. **Is my judgement compromised by an interest?** (§4.4) Disclose before deciding, not after.
4. **What may I say, and to whom?** (§4.3) Confidentiality governs the route of a concern, not whether it may be raised.
5. **If I am being instructed, what is the proportionate response?** (§4.6) Decline the act, escalate once, record it.
6. **Can I explain and defend what I am about to submit?** (§4.8) If not, it is not ready to leave your desk.

Note what step 4 does and does not do. Confidentiality is a frequent excuse for silence and is almost never a valid one: it shapes where a concern goes, not whether it goes anywhere.

11. How this goes wrong

"It is only a presentational change." The most common route into a breach. Presentation is where misleading happens; the individual figures usually survive audit intact.

Treating the code as a document you agree with rather than a test you apply. The principles are worth nothing unless they are consulted before the report goes out, at the moment the concession looks small.

Escalating by hint. A raised eyebrow in a meeting is not an escalation and will not be found by anyone reviewing the matter later. If it is worth raising, it is worth writing in one factual paragraph.

Escalating everything. A practitioner who treats every methodological disagreement as an ethics matter loses the standing to raise the one that counts.

Confusing loyalty with obedience. The employer's interest is served by knowing the true position early. A professional who tells a director what they want to hear is not being loyal; they are transferring risk from the meeting to the project.

Waiting for certainty before speaking. By the time a doubt is fully evidenced, the number is usually issued and the decision is usually taken. The Code's threshold is reasonable belief, not proof.

12. The four questions

Before anything leaves your desk carrying your name:

1. **Is it true, including the impression it creates?** Not just each figure — the whole.
2. **Can I explain it without the file open?** The data, the method, the sensitivity, the failure mode.
3. **Would I be content for the person relying on it to see how it was produced?** Including the instructions that shaped it.
4. **If I am wrong, will the record show what I actually did?** Assumptions, checks, escalations, dates.

A number that fails any of these is not ready. A practitioner who answers all four honestly, every time, will never need the disciplinary sections of the Code — and will occasionally have a very uncomfortable week, which is the price of the standing the credential is supposed to carry.

Related

- `ETH-01 — The PCI code of ethics and professional conduct` — the binding clauses these principles explain
- `ETH-03 — Reporting numbers under pressure: a casebook` — the same principles applied to specific, fictitious dilemmas
- `ETH-04 — Conflicts of interest in project controls` — the operative detail behind §4.4

- `ETH-05 — The ethical use of AI and data` — the operative detail behind §4.8
- `CMP-09 — Behavioural and leadership competencies` — how the behaviours described here are assessed as competence

Sources and standards

- PCI Code of Professional Conduct (predecessor instrument), `docs/downloads/code-of-professional-conduct.md`, repository copy read August 2026 — the source of the eight principles.
- `ETH-01 — The PCI code of ethics and professional conduct` (this framework) — the clause numbering cited throughout.

No external sources are cited in this document, and none are implied. The reasoning is the Institute's own, offered as PCI interpretation of its own Code.

Status and version

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